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BUSINESS

Palo Alto Networks Revenue, Expenses Surge

Cybersecurity firm offers mixed profit outlook for year, quarter

By Maria Armental

Aug. 30, 2016 at 5:21 pm ET



Palo Alto Networks has authorized an additional \$500 million to buy back shares. KRIS TRIPPLAAR/SIPA USA

Palo Alto Networks Inc. on Tuesday provided a mixed financial outlook as revenue and expenses surged at the cybersecurity firm.

For the year, the company projected adjusted per-share profit of \$2.75 to \$2.80, above the average analyst estimate of \$2.64. However, the outlook for the current quarter was more downbeat. For the period ending in October, Palo Alto forecast adjusted per-share earnings of 51 cents to 53 cents on \$396 million to \$402 million in revenue, compared with analysts' projections on Thomson Reuters of 56 cents a share and \$402.2 million.

Shares, down 19% this year, slipped 2.5% to \$139.89 in after-hours trading.

The Santa Clara, Calif., has reported losses in all but one fiscal year and ended the most recent year with a loss of \$225.9 million, bringing its accumulated deficit to \$726.6 million.

Over all, for the quarter ended July 31, Palo Alto Networks reported its net loss widened 18% to \$54.5 million, or 61 cents a share, as revenue surged 41% to \$400.8 million. Excluding stock-based compensation and other items, the company reported a profit of 50 cents, up from 28 cents a year ago.

The results compared with the company's projections of 48 cents to 50 cents a share in adjusted profit on \$386 million to \$390 million in revenue.

Gross profit improved to 74.6% from 73.8% a year earlier, while operating expenses surged 41% to \$344.5 million.

Billings, which include revenue yet to be recognized and are seen as a gauge of demand, rose 45% to \$572.4 million in the latest period.

Last week, the company's board authorized an additional \$500 million to buy back shares.

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